

TEST CASE 1 V2



DEFINED CONTRIBUTION PROTOTYPE PLAN AND TRUST

**ADOPTION AGREEMENT #006
STANDARDIZED 401(k) PLAN**

The undersigned Employer, by executing this Adoption Agreement, establishes a retirement plan and trust (collectively "Plan") under the XXXXXX Defined Contribution Prototype Plan and Trust (basic plan document #11). The Employer, subject to the Employer's Adoption Agreement elections, adopts fully the Prototype Plan and Trust provisions. This Adoption Agreement, the basic plan document and any attached Appendices or agreements permitted or referenced therein, constitute the Employer's entire plan and trust document. *All "Election" references within this Adoption Agreement are Adoption Agreement Elections. All "Article" or "Section" references are basic plan document references. Numbers in parentheses which follow election numbers are basic plan document references.* Where an Adoption Agreement election calls for the Employer to supply text, the Employer (without altering the content of any existing printed text) may lengthen any space or line, or create additional tiers. When Employer-supplied text uses terms substantially similar to existing printed options, all clarifications and caveats applicable to the printed options apply to the Employer-supplied text unless the context requires otherwise. The Employer makes the following elections granted under the corresponding provisions of the basic plan document. *The Employer should complete this Adoption Agreement in a manner which is consistent with the restrictions contained in Rev. Proc. 2011-49 as applicable to Standardized Plans. For example, all benefits, rights and features must be currently available to all Participants, allocation compensation must be nondiscriminatory, the eligibility requirements for HCEs may not be more favorable than for NHCEs and certain other conditions and limitations apply. Failure to observe these restrictions may result in loss of reliance on the Plan's Opinion Letter.*

**ARTICLE I
DEFINITIONS**

1. EMPLOYER (1.24).

Name: Test Case 1 - Knight Train Railroad Company

Address: 401 Boones Farm Road, Cherry Creek CO, 30198

Phone number: (401) 501 - 4032

Taxpayer Identification Number (TIN): 88-1234567

E-mail (optional): NTRCompany@NTRC.com

Employer's Taxable Year (optional): December 31

2. PLAN (1.42).

Name: Knight Train 401(k) Plan

Plan number: 001 (3-digit number for Form 5500 reporting)

Trust EIN (optional): 99-6001579

3. PLAN/LIMITATION YEAR (1.44/1.34). Plan Year and Limitation Year mean the 12 consecutive month period (except for a short Plan/Limitation Year) ending every:

[Note: Complete any applicable blanks under Election 3 with a specific date, e.g., June 30 OR the last day of February OR the first Tuesday in January. In the case of a Short Plan Year or a Short Limitation Year, include the year, e.g., May 1, 2014.]

Plan Year (Choose one of (a) or (b). Choose (c) if applicable.):

(a) ☒ **December 31.**

(b) ☐ **Fiscal Plan Year:** ending: _____.

(c) ☐ **Short Plan Year:** commencing: _____ and ending: _____.

Limitation Year (Choose one of (d) or (e). Choose (f) if applicable.):

(d) ☒ **Generally same as Plan Year.** The Limitation Year is the same as the Plan Year except where the Plan Year is a short year in which event the Limitation Year is always a 12 month period, unless the short Plan Year (and short Limitation Year) result from a Plan amendment.

(e) ☐ **Different Limitation Year:** ending: _____.

(f) ☐ **Short Limitation Year:** commencing: _____ and ending: _____.

4. **EFFECTIVE DATE (1.20).** The Employer's adoption of the Plan is a (Choose one of (a) or (b). Complete (c) if new plan OR complete (c) and (d) if an amendment and restatement. Choose (e) and (f) if applicable.):

(a) ☒ **New Plan.**

(b) ☐ **Restated Plan.**

PPA RESTATEMENT (leave blank if not applicable)

(1) ☐ This is an amendment and restatement to bring a plan into compliance with the Pension Protection Act of 2006 ("PPA") and other legislative and regulatory changes.

Initial Effective Date of Plan (enter date)

(c) ☒ 1/1/2023 (hereinafter called the "Effective Date" unless 4(d) is entered below)

Restatement Effective Date (If this is an amendment and restatement, enter effective date of the restatement.)

(d) ☐ _____ (enter month day, year; may enter a restatement date that is the first day of the current Plan Year. The Plan contains appropriate retroactive effective dates with respect to provisions for the appropriate laws if the Plan is a PPA Restatement.) (hereinafter called the "Effective Date")

[Note: See Section 1.54 for the definition of Restated Plan. If this Plan is a PPA Restatement, the PPA restatement Effective Date may be a current date (as the basic plan document supplies the Effective Dates of various PPA and other provisions) or may be a retroactive date. If specific Plan provisions, as reflected in this Adoption Agreement and the basic plan documents, do not have the Effective Date stated in this Election 4, indicate as such in the election where called for or in Appendix A.]

(e) ☐ **Restatement of surviving and merging plans.** The Plan restates two (or more) plans (Complete 4(c) and (d) above for this (surviving) Plan. Complete (1) below for the merging plan. Choose (2) if applicable. Unless otherwise noted, the restated Effective Date with regard to a merging plan is the later of the date of the merger or the restated Effective Date of this Plan.):

(1) **Merging plan.** The _____ Plan was or will be merged into this surviving Plan as of: _____. The merging plan's restated Effective Date is: _____. The merging plan's original Effective Date was: _____.

[See the Note under Election 4(d) if this document is the merging plan's PPA restatement.]

(2) ☐ **Additional merging plans.** The following additional plans were or will be merged into this surviving Plan (Complete a. and b. as applicable.):

	<u>Name of merging plan</u>	<u>Merger date</u>	<u>Restated Effective Date</u>	<u>Original Effective Date</u>
a.	_____	_____	_____	_____
b.	_____	_____	_____	_____

(f) ☐ **Special Effective Date for Elective Deferral provisions:** _____

[Note: If Elective Deferral provision is not effective as of the Initial Effective Date or the Restatement Effective Date, enter the date as of which the Elective Deferral provision is effective. The Special Effective Date may not precede the date on which the Employer adopted the Plan.]

5. **TRUSTEE (1.67).** The Trustee executing this Adoption Agreement is (Choose one or more of (a), (b), or (c). Choose (d) if applicable.):

(a) ☐ **A discretionary Trustee.** See Section 8.02(A).

(b) ☒ **A nondiscretionary (directed) Trustee or Custodian.** See Section 8.02(B).

(c) ☐ **A Trustee under the:** _____ (specify name of trust), a separate trust agreement the Trustee has executed and that the IRS has approved for use with this Plan. Under this Election 5(c) the Trustee is not executing the Adoption Agreement and Article VIII of the basic plan document does not apply, except as indicated otherwise in the separate trust agreement. See Section 8.11(C).

(d) ☐ **Use of non-approved trust.** A Trustee under the: _____ (specify name of trust), a separate trust agreement the Trustee has executed for use with this Plan. Under this Election 5(d) the Trustee is not executing the Adoption Agreement and Article VIII of the basic plan document does not apply, except as indicated otherwise in the separate trust agreement. See Section 8.11(C). [Caution: Election 5(d) will result in the Plan losing reliance on its Opinion Letter and the Plan will be an individually designed plan.]

6. **CONTRIBUTION TYPES (1.12).** The selections made below should correspond with the selections made under Article III of this Adoption Agreement. (If this is a frozen Plan (i.e., all contributions have ceased), choose (a) only.):

Frozen Plan. See Sections 3.01(J) and 11.04.

(a) ☐ **Contributions cease.** All Contributions have ceased or will cease (Plan is frozen).

(1) ☐ **Effective date of freeze:** _____ [Note: Effective date is optional unless this is the amendment or restatement to freeze the Plan.]

[Note: Elections 20 through 30 and Elections 36 through 38 do not apply to any Plan Year in which the Plan is frozen.]

Contributions. The Employer and/or Participants, in accordance with the Plan terms, make the following Contribution Types to the Plan/Trust (Choose one or more of (b) through (h).):

(b) ☒ **Pre-Tax Deferrals.** See Section 3.02 and Elections 20-23, and 34.

(1) ☐ **Roth Deferrals.** See Section 3.02(E) and Elections 20, 21, and 23. [Note: The Employer may not limit Elective Deferrals to Roth Deferrals only.]

(c) ☐ **Matching.** See Sections 1.35 and 3.03 and Elections 24-26. [Note: The Employer may make an Operational QMAC without electing 6(c). See Section 3.03(C)(2). Do not elect for a safe harbor plan; use 6(e) instead.]

(d) ☒ **Nonelective.** See Sections 1.38 and 3.04 and Elections 27-29. [Note: The Employer may make an Operational QNEC without electing 6(d). See Section 3.04(C)(2).]

(e) ☒ **Safe Harbor/Additional Matching.** The Plan is (or pursuant to a delayed election, may be) a safe harbor 401(k) Plan. The Employer will make (or under a delayed election, may make) Safe Harbor Contributions as it elects in Election 30. The Employer may or may not make Additional Matching Contributions as it elects in Election 30. See Election 26 as to matching Catch-Up Deferrals. See Section 3.05.

(f) ☐ **Employee (after-tax).** See Section 3.09 and Election 36.

(g) ☐ **SIMPLE 401(k).** The Plan is a SIMPLE 401(k) Plan. See Section 3.10. [Note: The Employer electing 6(g) must elect a calendar year under 3(a) and may not elect any other Contribution Types except under Elections 6(b) and 6(h).]

(h) ☐ **Designated IRA.** See Section 3.12 and Election 37.

7. **DISABILITY (1.16).** Disability means (Choose one of (a) or (b).):

(a) ☒ **Basic Plan.** Disability as defined in Section 1.16(A).

(b) ☐ **Describe:** _____

[Note: The Employer may elect an alternative definition of Disability for purposes of Plan distributions. However, the use of an alternative definition may result in loss of favorable tax treatment of the Disability distribution.]

8. **EXCLUDED EMPLOYEES (1.22(D)).** The following Employees are not Eligible Employees but are Excluded Employees (Choose one of (a), (b), or (c).):

(a) ☐ **No Excluded Employees.** There are no additional excluded Employees under the Plan as to any Contribution Type (skip to Election 9).

(b) ☒ **Exclusions - same for all Contribution Types.** The following Employees are Excluded Employees for all Contribution Types (Choose one or more of (e) through (g). Choose column (1) for each exclusion elected at (e) through (g).):

(c) ☐ **Exclusions - different exclusions apply.** The following Employees are Excluded Employees for the designated Contribution Type (Choose one or more of (d) through (g). Choose Contribution Type as applicable.):

[Note: For this Election 8, Elective Deferrals includes Pre-Tax Deferrals, Roth Deferrals, Employee Contributions and Safe Harbor Contributions. Matching includes all Matching Contributions except Safe Harbor Matching Contributions. Nonelective includes all Nonelective Contributions except Safe Harbor Nonelective Contributions.]

Exclusions	(1) All Contributions	(2) Elective Deferrals	(3) Matching	(4) Nonelective
(d) ☐ No exclusions. No exclusions as to the designated Contribution Type.	N/A (See Election 8(a))	☐	☐	☐
(e) ☒ Collective Bargaining (union) Employees. As described in Code §410(b)(3)(A). See Section 1.22(D)(1).	☒	OR	☐	☐
(f) ☐ Non-Resident Aliens. As described in Code §410(b)(3)(C). See Section 1.22(D)(2).	☐	OR	☐	☐
(g) ☐ HCEs. See Section 1.22(E). See Election 30(f)	☐	OR	☐	☐

as to exclusion of some or all HCEs from
Safe Harbor Contributions.

9. **COMPENSATION (1.11(B)).** The following base Compensation (as adjusted under Elections 10 and 11) applies in allocating Employer Contributions (or the designated Contribution Type) (Choose one or more of (a) through (d) and choose Contribution Type as applicable.):

[Note: For this Election 9 all definitions include Elective Deferrals unless excluded under Election 11. See Section 1.11(D). Unless described otherwise in Election 9(d), Elective Deferrals includes Pre-Tax Deferrals, Roth Deferrals and Employee Contributions, Matching includes all Matching Contributions and Nonelective includes all Nonelective Contributions. In applying any Plan definition which references Section 1.11 Compensation, where the Employer in this Election 9 elects more than one Compensation definition for allocation purposes, the Plan Administrator will use W-2 Wages for other Plan definitions of Compensation if the Employer has elected W-2 Wages for any Contribution Type under Election 9. If the Employer has not elected W-2 Wages, the Plan Administrator for such other Plan definitions will use 415 Compensation.]

	(1) All Contributions		(2) Elective Deferrals	(3) Matching	(4) Nonelective
(a) ☒ W-2 Wages (plus Elective Deferrals). See Section 1.11(B)(1).	☒	OR	☐	☐	☐
(b) ☐ Code §3401 Federal Income Tax Withholding Wages (plus Elective Deferrals). See Section 1.11(B)(2).	☐	OR	☐	☐	☐
(c) ☐ 415 Compensation (simplified). See Section 1.11(B)(3). [Note: The Employer may elect an alternative "general 415 Compensation" definition by electing 9(c) and by electing the alternative definition in Appendix B. See Section 1.11(B)(4).]	☐	OR	☐	☐	☐
(d) ☐ Describe Compensation by Contribution Type: _____					

[Note: Under Election 9(d), the Employer may define the Contribution Type column headings in a manner which differs from the "all-inclusive" description in the Note immediately preceding Election 9(a) (e.g., Compensation for Safe Harbor Matching Contributions means W-2 Wages and for Additional Matching Contributions means 415 Compensation). Any Compensation elected must be nondiscriminatory under Treas. §1.414(s).]

10. **PRE-ENTRY/POST-SEVERANCE COMPENSATION (1.11(H)/(I)).** Compensation under Election 9:

[Note: For this Election 10, unless described otherwise in Elections 10(c) or (n), Elective Deferrals includes Pre-Tax Deferrals, Roth Deferrals and Employee Contributions, Matching includes all Matching Contributions and Nonelective includes all Nonelective Contributions.]

	(1) All Contributions		(2) Elective Deferrals	(3) Matching	(4) Nonelective
Pre-Entry Compensation (Choose one of (a) or (b). Choose Contribution Type as applicable.):					
(a) ☐ Plan Year. Compensation for the entire Plan Year which includes the Participant's Entry Date.	☐	OR	☐	☐	☐
(b) ☒ Participating Compensation. Only Participating Compensation. See Section 1.11(H)(1).	☒	OR	☐	☐	☐

[Note: Under a Participating Compensation election, in applying any Adoption Agreement elected contribution limit or formula, the Plan Administrator will count only the Participant's Participating Compensation. See Section 1.11(H)(1) as to plan disaggregation.]

(c) ☐ **Describe Pre-Entry Compensation by Contribution Type:** _____

[Note: Under Election 10(c), the Employer may define the Contribution Type column headings in a manner which differs from the "all-inclusive" description in the Note immediately preceding Pre-Entry Compensation (e.g., Compensation for Nonelective Contributions is Participating Compensation and for Safe Harbor Nonelective Contributions is Plan Year Compensation). Any Compensation elected must be nondiscriminatory under Treas. §1.414(s).]

PARTICIPATION AGREEMENT (1.24(D))
[Standardized Adoption Agreement]

[Note: See Section 1.24(D)(1) as to participation by the Employees of Related Employers even where such Employers do not become Participating Employers. However, a Related Employer should execute a Participation Agreement to make clear that its Employees are Eligible Employees and to insure deductibility of its Employer Contributions.]

Agreement as to Signatory Employer control. The undersigned Related Employer, by executing this Participation Agreement, elects to become a Participating Employer in the Plan identified in the foregoing Adoption Agreement. The Participating Employer accepts, and agrees to be bound by, all of the Elections as made by the Signatory Employer. *The Participating Employer also hereby consents to the Signatory Employer's sole authority (without further signature or other action by the Participating Employer) to amend, to restate or to terminate the Plan, to terminate the Participating Employer's participation in the Plan, and to take certain other actions, in accordance with Section 1.24(A) as applicable.*

Plan Status. (Choose one.):

☒ **New Plan.**

☐ **Restated Plan.**

Initial Effective Date of Plan. (enter date)

☒ 1/1/2023 (hereinafter called the "Effective Date" unless Restatement Effective Date is entered below)

Restatement Effective Date. (If this is an amendment and restatement, enter effective date of the restatement.)

☐ _____ (enter month day, year; may enter a restatement date that is the first day of the current Plan Year. The Plan contains appropriate retroactive effective dates with respect to provisions for the appropriate laws.) (hereinafter called the "Effective Date")

[Note: Unless otherwise noted, if the Participating Employer is adopting this Plan as a PPA restated Plan, the restated Effective Date is the date specified in Election 4 on the Adoption Agreement or the Participating Employer's original Effective Date, whichever is later. Where the Participating Employer is restating its Plan, the Participating Employer may wish to execute this Participation Agreement even if the prior version of the Plan accorded to the Signatory Employer the authority to make Plan amendments on behalf of Participating Employers without Participating Employer signature or approval.]

Participating Employer: Knight Train Railroad Company

Date: 12/31/2022

Signed: _____

Thomas Knight

[print name/title]

Participating Employer's TIN: XXXXXXXXXX

Acceptance by Signatory Employer and Trustee/Custodian.

Signatory Employer: Knight Train Railroad Company

Date: 12/31/2022

Signed: _____

Boone Knight

[print name/title]

Trustee(s)/Custodian(s): Bigtime Bank & Trust

Date: 12/31/2022

Signed: _____

Bubba Bigtime

[print name/title]